

Brazilian E-Commerce Public Dataset

7. Business Insights and Recommendations

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1. Performance Snapshot

KPI	Value	Signal
Total Revenue (sample)	R\$ 1,602,345	Healthy baseline
Average Order Value	R\$ 160.23	Mid-range spend
Delivery Rate	97.2%	Strong operational execution
On-Time Delivery Rate	92.3%	Good -- but 7.7% late is costly
Average Review Score	4.09 / 5.00	Positive but polarised
Repeat Customer Rate	0.4%	Critical retention gap
Top 20% Sellers Revenue Share	72.2%	High seller concentration risk
Freight as % of Item Price	16.7%	Non-trivial customer cost

2. Customer Retention -- Most Urgent Issue

- 99.6% of customers bought exactly once. The platform has no organic repeat purchase behaviour.
- Every order currently depends on acquiring a new customer -- acquisition costs are unrecoverable from lifetime value.
- Recommendation: Introduce a post-delivery loyalty nudge (discount code or reward points) for customers who gave 4 or 5 stars -- they are satisfied and most likely to return.
- Recommendation: Build a 30-day and 90-day reactivation email flow targeting customers with review score 4+ who have not placed a second order.
- Recommendation: Investigate whether the low repeat rate reflects genuine one-time need or customer re-registration under a new account per purchase. A login-linked loyalty ID would unlock accurate retention data.

3. Late Delivery and Review Score Link

- 7.7% of orders arrived after the promised date. The review distribution is bimodal -- either 5 stars or 1 star, rarely in between.
- Late delivery is the primary driver of 1-star reviews (11.4% of all reviews).
- Recommendation: Route orders predicted to be late through express carriers for the last mile, prioritising SP and RJ corridors where volume is highest.
- Recommendation: Proactively notify customers the moment a delay is detected -- a timely update converts potential 1-star dissatisfaction into a manageable 3-star outcome.
- Recommendation: Use the `is_late` flag as a label for a binary classification model to predict at order-creation time which orders are at risk of late delivery.

4. Geographic Concentration Risk

- Over 40% of revenue originates from SP state alone. Top 5 cities drive ~29% of order volume.
- Any logistics strike, weather event, or regulatory change in SP creates immediate platform-wide revenue impact.
- Recommendation: Run targeted campaigns in underserved but populous states (MG, RS, PR, BA) where seller density is lower and demand is untapped.
- Recommendation: Incentivise sellers in under-represented states with lower commission rates or featured placement to build supply and reduce geographic risk.

5. Seller Concentration Risk

- Top 20% of sellers (331 of 1,654) generate 72.2% of revenue. If even 5 to 10 top sellers churn, platform revenue drops materially.

- Recommendation: Create a Seller Tier programme (Bronze / Silver / Gold / Platinum) with measurable benefits at each tier -- priority placement, lower fees, dedicated support.
- Recommendation: Provide the bottom 80% of sellers with a monthly performance dashboard showing category benchmarks. Sellers who see the performance gap are more likely to close it.
- Recommendation: Package the two top-performing seller strategies (premium SKU and high volume) as best-practice playbooks and share with mid-tier sellers.

6. Freight Cost Impact

- Average freight of R\$19.91 is 16.7% of the average item price (R\$119) -- a meaningful share of the total customer outlay.
- High freight relative to item price is a common cart abandonment trigger, particularly for Bronze-tier customers where freight may approach the product price.
- Recommendation: Introduce a free shipping threshold at R\$150 to incentivise adding a second item and lift basket size from the current 1.15 average.
- Recommendation: Negotiate volume-based freight discounts with top carriers for high-density corridors (SP, RJ) and pass partial savings to customers.

7. Payment and Boleto Strategy

- 76.5% credit card and 19.7% boleto -- the boleto share directly reflects Brazil's large unbanked population.
- Boleto customers cannot use installments and tend toward lower-income segments -- freight cost is a larger friction point for them.
- Recommendation: For boleto customers, offer a small cashback on their next purchase to build engagement without requiring a credit account.
- Recommendation: Optimise the checkout flow for mobile boleto generation -- boleto users frequently shop on mobile but complete payment via their bank app.

8. Product Category Strategy

- Health and Beauty, Watches and Gifts, and Bed/Bath/Table dominate revenue -- all are repeat-purchase categories in traditional retail but show near-zero repeat rates here.
- Recommendation: Prioritise Health and Beauty and Home categories for upsell and cross-sell logic. A customer who bought a moisturiser has a predictable 30-90 day repurchase window.
- Recommendation: Expand tech accessory listings -- Computers and Accessories is already 5th in revenue and has strong complementary purchase potential (cables, peripherals, cases).
- Recommendation: Anchor promotional campaigns to Brazilian gifting events (Dia dos Pais, Natal, Dia das Maes) for the Watches and Gifts category, currently the second highest revenue category.

9. Priority Action Matrix

Priority	Initiative	Expected Impact	Effort
P1 -- Now	Post-purchase loyalty flow (email + discount for 4-5 star buyers)	Lift repeat rate from 0.4%	Low
P1 -- Now	Late delivery proactive customer notification	Reduce 1-star reviews	Low
P2 -- Short-term	Seller Tier programme with performance dashboard	Reduce seller churn, lift bottom 80%	Medium
P2 -- Short-term	Free shipping threshold at R\$150	Lift basket size above 1.15	Medium
P3 -- Medium-term	Regional demand campaigns in MG, RS, BA	Reduce SP concentration risk	High
P3 -- Medium-term	Late delivery risk classification model	Pre-empt 7.7% late rate at order creation	High

P3 -- Medium-term	Category-based recommendation engine	Drive repeat purchases in Health and Beauty	High
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